They share the profits and losses in the ratio of 3:1.They agreed to admit Kavitha into the partnership firm for 1/4 share of profit which she gets entirely from Rekha.

Following are the conditions:

(i) Kavitha has to bring ₹ 20,000 as capital. Her share of goodwill is valued at 4,000. She could not bring cash towards goodwill.

(ii) Depreciate buildings by 10%

(iii) Stock to be revalued at ₹ 6,000

(iv) Create provision for doubtful debts at 5% on debtors

Prepare necessary ledger accounts and the balance sheet after admission.

Solution

Dr. Revaluation Account Cr.

Particulars	₹	Particulars	₹	₹
To Buildings A/c	5,000	By Loss on revaluation transferred to		
To Stock A/c	2,000	Rekha's capital A/c (3/4)	7,500	
To Provision for bad debts A/c	3,000	Mary's capital A/c (1/4)	2,500	10,000
	10,000			10,000

Dr. Capital Account Cr.

Particulars	Rekha ₹	Mary ₹	Kavitha ₹	Particulars	Rekha ₹	Mary ₹	Kavitha ₹
To Revaluation A/c	7,500	2,500	-	By Balance b/d	50,000	30,000	-
To Rekha's capital A/c (share of goodwill)	-	-	4,000	By Bank A/c	-	-	20,000
				By General reserve A/c	30,000	10,000	-
				By Workmen compensation fund A/c	7,500	2,500	-
To Balance c/d	**84,000**	**40,000**	**16,000**	By Kavitha's capital A/c (share of goodwill)	4,000	-	-
	91,500	42,500	20,000		91,500	42,500	20,000
				By Balance b/d	84,000	40,000	16,000

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